

PART II

Attitude and Philosophy

“**S**tocks and sentiment do not mix,” concludes Ellen Williamson, who survived the 1929 crash and became a notable author on investing. After deciding to invest, bringing the right temperament to the table is crucial. Can a psychological test predetermine success, as Adam Smith playfully suggests? Maybe, but John Moody makes it clear that you must be a venturesome dreamer, imaginative, and foresightful. To that list, John C. Bogle, founder of The Vanguard Group, adds skepticism to penetrate various marketing ploys and the hype generated by brokerage houses. Realistic expectations come as a result of purging emotion from decision making and help one avoid the graveyard depicted by Fred Schwed, renowned author of *Where Are the Customer's Yachts?* That graveyard is reserved for the investing fools who take to crystal-ball gazing. The right attitude goes a long way toward achieving success and avoiding the pitfalls of investing.